

REASONER, et al v HENDERSON, et al

24CV47538

PLAINTIFF'S MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE, SUMMARY ADJUDICATION

This civil action stems from a dispute over real property and allegations of fraud and elder abuse brought by Donna S. Reasoner ("Donna") by and through her Agent-In-Fact George Reasoner and George Reasoner, individually ("George") (collectively "Plaintiffs") against Teran Henderson ("Henderson") and Elizabeth Cann ("Cann") (collectively "Defendants.") Plaintiffs bring causes of action for 1) fraud, 2) rescission of contract, 3) cancellation of written instrument, 4) declaratory relief, 5) ejectment, 6) unjust enrichment, and 7) financial elder abuse.

On April 8, 2026, the Court postponed a hearing on Plaintiffs' motion for summary judgment in order to give Defendants time to file an opposition that was in compliance with Code of Civil Procedure section 473c and California Rules of Court 3.1350(f).)

On April 9, 2026, Defendants submitted a revised opposition. The revised opposition is still not compliant with the Rules of Court or Code of Civil Procedure. First, Defendants have filed their Memorandum in Opposition and Separate Statement as one singular document, rather than separate ones as contemplated by the rules. (Cal. Rule 3.1350(e)[opposition "must consist of four separate documents"].) Second, while Defendants partially complied with the requirement that there be a Separate Statement in a two-column format, they only responded to some of the Plaintiff's statements of undisputed fact. For instance, while Plaintiff's UMF on the Fraud cause of action contains thirty statements of undisputed fact, the Defendants' separate statement refers to only seven.

As Defendants have failed to file a separate statement in opposition to the motion, the Court "has discretion under [Code of Civil Procedure section 437c,] subdivision (b)(3) to grant the motion, without first undertaking a detailed analysis of the supporting evidence to determine if a prima facie showing has been made as to one or more of the elements of each claim . . . , " if the Court "reviews the moving papers and concludes the motion is not deficient on its face." (*Mandell-Brown v. Novo Nordisk Inc.* (2025) 109 Cal.App.5th 478, 484.) However, the Court may not grant the motion unless it first determines the moving party has met its initial burden of proof. (See *Thatcher v. Lucky Stores, Inc.* (2000) 79 Cal.App.4th 1081, 1086["[U]nless the moving party has met its initial burden of proof, the court does not have discretion under subdivision (b) of section 437c to grant summary judgment based on the opposing party's failure to file a proper separate statement"].)

I. BACKGROUND

On March 8, 2023, Defendants presented Plaintiff with a written agreement for her to sign ("Agreement.") (UMF 1.) At the time of all material allegations, Plaintiff was over sixty-five (65) years of age. (UMF 46.) Defendants represented the Agreement as a rental or rent-to-own arrangement. (UMF 2.) Cann, Henderson and Donna read through the Agreement together, made changes, and then signed it. (UMF 3.) Cann typed up the Agreement to represent the changes made during discussions; however, Cann used online templates and "altered them for their purposes." (UMF 4,5.) The final Agreement was rushed and signed without final review by Donna because she had left to use the restroom. (UMF 7.) No changes were made to the Agreement after signing, and there were no witnesses or a notary present at the time of the signing. (UMF 8, 9.) There were also no attorneys present nor did any of the parties consult an attorney prior to signing the Agreement. (UMF 15.) Nor did Defendants ever advise Donna to obtain independent financial advice with regards to the Agreement. (UMF 35.)

The Agreement states that the deed transferred to defendants upon Donna' death. (UMF 10.) The Agreement further stated that the title transferred to Defendants upon activation of Donna's power of attorney. (UMF 11.) Cann testified that the transfer on death deed and the transfer of title provisions were intentionally included. (UMF 12.) Defendants read Donna the entire Agreement before signing. (UMF 16.) The Agreement was never recorded. (UMF 18.) The Agreement provides that the Defendants would pay only \$90,000 over an eighteen-year period. (UMF 22.) However, the fair market value of the property was \$300,000. (UMF 23.)

Under the Agreement, Donna is obligated to pay taxes, utilities, and insurance during the term of the Agreement. (UMF 24.) Prior to the signing of the Agreement, Cann and Henderson lived with Donna and provided her with care and assistance. (UMF 19, 20.)

II. Legal Standard

Summary judgment is proper when there are no triable issues of material fact, and the moving party is entitled to a judgment as a matter of law. (Code Civ. Proc., § 437c(c).)

A plaintiff moving for summary adjudication of a cause of action has an initial burden of proving each element of the cause of action entitling him or her to judgment on that cause of action, while a plaintiff moving for summary adjudication of an affirmative defense has an initial burden of proving that one or more elements of the defense cannot be established. (Code of Civ. Proc., § 437c, subd. (p)(1); *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 241.) A plaintiff meets the burden of showing there is no defense by proving each element of the cause of action. (Code Civ. Proc., § 437c, subd. (p)(1).) A plaintiff moving for summary judgment is not required to disprove any defense asserted by the defendant in addition to proving each element of the plaintiff's own cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 853.) If the plaintiff meets it's burden, then the burden shifts to the defendant to

show the existence of a triable issue of material fact. (*Ibid.*) The moving party bears the burden of persuasion that there is no triable issue of material fact and that she is entitled to adjudication as a matter of law. (*Id.* at 850.)

III. Discussion

A. Fraudulent Inducement

“The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage. Fraud in the inducement is a subset of the tort of fraud.” *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 838-839.) Fraud in the inducement “occurs when ‘the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.’ ” (*Hinesley v. Oakshade Town Center* (2005) 135 Cal.App.4th 289, 294-295 [citations omitted].)

It is undisputed that Plaintiff signed the Agreement. (UMF 7.) However, Plaintiff asserts that Defendants fraudulently characterized the Agreement as a Rent-To-Own (“RTO”) lease instead of a transfer of title upon either Plaintiff’s death or activation of a power of attorney (“POA”). (UMF 25.) Defendants do not respond to this UMF and do not seem to dispute this categorization that Plaintiff entered into the Agreement believing that it was in fact a Rent-To-Own Agreement and not one that would transfer the property upon her death or activation of the POA. Plaintiff’s purported understanding of the Agreement, and her assertion that Defendants represented the Agreement as a lease or RTO is bolstered by the evidence provided. First, The Agreement itself refers to the payments as “rental payments” (Declaration of Darren Cordano (“Cordano Decl.”) ¶ 3, Ex. 1, ¶ 3) and contemplates surrender of the property upon termination of the Agreement. (*Ibid.*, ¶ 5.) The Agreement also repeatedly refers to it being a contract for an “option to purchase.” (Agreement ¶¶ 8, 11.) Furthermore, the signature line reflects that Plaintiff was referred to as “seller/landlord.” Finally, throughout his deposition, Henderson repeatedly referred to the Agreement as a “lease.” (Henderson Depo. p. 9 (contract template was a “lease agreement”), p. 11, lines 11-13; p. 114, lines 2-10 [the template they selected was for a rent to own or lease to own agreement].)

However, Plaintiff does not provide undisputed evidence of justifiable reliance on that representation. Rather, she provides evidence that the Agreement was read to her in full and that she signed the Agreement (albeit rushed and without an attorney present). The Agreement clearly states that the property would transfer to the Defendants upon either Plaintiff’s death or activation of the POA. (Agreement ¶ 6.) While Plaintiff may well have relied upon the Defendants’ representations that this was a lease-to-own only, the terms of the Agreement state otherwise.

For purposes of a plaintiff bringing summary judgment, the Court must find that Plaintiff has provided undisputed evidence of all the elements of her cause of action. Plaintiff has not done so on her fraud claim and thus resolution of the matter on summary judgment is not warranted.

Accordingly, Plaintiff's **motion for summary judgment on the cause of action for fraudulent inducement is DENIED.**

B. Rescission of Contract

Plaintiff's Complaint seeks rescission of the Agreement on the grounds that it was fraudulent, the result of undue influence, or mistake.

Pursuant to Code Civ. Procedure section 1689(b)(1), a party may rescind a contract where "the consent of the party rescinding, or of any party jointly contracting with him, was given by mistake, or obtained through duress, menace, fraud, or undue influence, exercised by or with the connivance of the party as to whom he rescinds, or of any other party to the contract jointly interested with such party." To rescind a contract, the rescinding party must promptly upon discovering the facts that entitle him or her to rescission, give notice of rescission and restore to the other party everything of value, which he or she has received under the contract, or offer to restore said funds upon condition that the other party do the same. (Code Civ. Proc. §1691.) "When notice of rescission has not otherwise been given or an offer to restore the benefits received under the contract has not otherwise been made, the service of a pleading in an action or proceeding that seeks relief based on rescission shall be deemed to be such notice or offer or both." (*Ibid.*)

Plaintiff's claim for rescission based on undue influence is inextricably entwined with her claim for elder abuse (cause of action number seven) and provides context for examining the undue influence claims. Plaintiff has provided unrefuted evidence that she qualifies as an elder for purposes of the elder abuse statute. (Wef & Inst. Code §15600)

In the context of an elder abuse case, "undue influence" is defined as "excessive persuasion that causes another person to act or refrain from acting by overcoming that person's free will and results in inequity." (§ 15610.70, subd. (a).) "In determining whether a result was produced by undue influence, section 15610.70 directs courts to consider: (1) the victim's vulnerability; (2) the influencer's apparent authority; (3) the tactics used by the influencer; and (4) the inequity of the result." (*Keading v. Keading* (2021) 60 Cal.App.5th 1115, 1125.) Further, "[b]ecause perpetrators of undue influence rarely leave any direct evidence of their actions, plaintiffs typically rely on circumstantial evidence and the reasonable inferences drawn from that evidence to prove their case. (*Keading v. Keading* (2021) 60 Cal.App.5th 1115, 1125.)

Plaintiff has produced uncontroverted evidence that at the time the Agreement was entered into she was over sixty-five years of age. (UMF 46.) Plaintiff has also produced substantial evidence of vulnerability – which may be demonstrated by evidence of incapacity, illness, disability, age, isolation, or dependency (among other things). (Code Civ. Proc. §15610.70(a)(1).) Here, Plaintiff has shown her need for assistance in daily life and reliance on the Defendants at the time of the Agreement. Henderson and Cann lived with Plaintiff and performed daily tasks for her. (UMF19, 20.) Henderson testified at his deposition that he and his wife performed household chores and tasks for Plaintiff

every day and would do “whatever she need for that day.” (Declaration of Darren Cordano (“Cordano Decl.”) ¶ 7, Ex. 8 (Henderson Deposition).) These tasks included cleaning her house, her room and bathroom, garage and other things. (*Ibid.*) Henderson also testified that while Plaintiff was supposed to have an official caretaker, he and his wife were doing all the tasks that the caretaker was supposed to do for Plaintiff. (*Ibid* p. 16.) Caretaking duties performed by Defendants included changing Plaintiff’s diapers, cleaning up toileting accidents, washing and caring for Plaintiff’s hair and “anything she couldn’t necessarily do.” (*Ibid*; p. 17.) Cann testified at her deposition that she was listed as Plaintiff’s caretaker with the welfare program. (Cordano Decl., Ex. 5 p. 11, lines 4-5.) At the same time, Defendants were aware that Plaintiff’s son Bruce was deceased, suggesting awareness of potential isolation.

In opposition, Defendants argue that Plaintiff was familiar with legal documents and made the independent decision not to consult an attorney. (Response to UMF 15.) However, they do not present any evidence supporting the existence of questions of fact regarding her dependency, disability/illness, age, or reliance on Defendants. Nor do they produce evidence of her competency or independence. Thus, the Court finds Plaintiff has sufficiently established her vulnerability.

Plaintiff has also produced substantial evidence that Defendants had substantial influence over her and engaged in tactics that were one-sided and led to an unfair result. Defendants presented Plaintiff with the pre-drafted Agreement. (UMF 1.) The Agreement was created by Defendants using online templates and modifying them. (UMF 5.) The parties agree that Plaintiff signed the Agreement in a rush because she needed to use the restroom. (UMF 7.) There were no attorneys, impartial witnesses or notaries present at the signing. (UMF 9.) Defendants read the Agreement to Plaintiff aloud. (UMF 16.) Thus, Plaintiff has produced evidence showing one-sided tactics in drafting and reviewing the Agreement.

Plaintiff has also produced substantial evidence that the Agreement was on its face inequitable. Defendants would pay only \$90,000 over a period of 18 years on a property that was valued in March 2023 at \$300,000. (UMF 22, 23.) For the first three years, Defendants would only pay \$100 per month. (Agreement, ¶ 1, II.) There would be no late fees or interest for any late payments. (*Id.* ¶3.)At the same time, Plaintiff was supposed to be responsible for all utilities, gas, electric, trash, internet and water. (*Id.* ¶ 4.) Finally, and most concerning, the Agreement would transfer the property – before all payments were made – in the event that Plaintiff died or activated her POA. However, the Defendants acknowledge that Plaintiff’s goal was to provide a lump sum (from the monthly payments) to her grandson Cayson. (Cann Depo p. 20, lines 19-21.) However, this objective would never be met if Plaintiff died or activated her POA before the purchase price was completed. Thus, the Plaintiff has produced substantial evidence of a one-sided Agreement with an inequitable result.

However, Defendants argue there are issues of material fact with regards to the nature of the Agreement formation and signing. They assert that Plaintiff was the instigator behind the Agreement and that she dictated the terms to them. (Responses to UMF 1, 2.) They assert that Plaintiff was allowed to review and revise the Agreement.

(Declaration of Elizabeth Cann (“Cann Decl.”) ¶ 9; Cann Depo p. 22, lines 10-13.) They assert that the provisions regarding her death and POA were placed there by Plaintiff because she did not want George to try to take the property away from Defendants. (Cann Depo p. 27, lines 9-13.)

As regards the apparent inequitable nature of the Agreement, Defendants argue that Plaintiff intended the Agreement to be charitable in nature. They point to Plaintiff’s long history of charitable donations as well as the nature of the relationship between Plaintiff and Defendants. According to Defendants, Plaintiff offered them a place to live with her (rent free) and then the option to purchase the home as a charitable gesture. (Cann Depo p. 16, lines 1-9; Henderson Depo. p. 33, lines 3-7.) They point to her history of making charitable gifts and argue that what might on the face appear inequitable was due to Plaintiff’s generous nature – not because Defendants were taking advantage of her – but this again leaves unanswered how her “charitable” nature toward her grandson was to come to fruition.

The Court finds that Defendants have raised questions of material fact with regards to whether they exerted undue influence over Plaintiff such that it warrants rescission of the contract. Accordingly, **the motion for summary judgment as to the rescission claim is DENIED.**

Because the Court finds that questions of material fact remain regarding the formation and intention behind the Agreement, as well as whether Plaintiff was the victim of elder abuse/undue influence, the remainder of Plaintiff’s causes of action are also not suitable for summary judgment.

Accordingly, as issues of material fact remain, the motion for summary judgment is DENIED.

The clerk shall provide notice of this ruling to the parties forthwith. Defendants to submit formal Orders complying with Rule 3.1312 in conformity with this Ruling.

UNIVERSITY CREDIT UNION v BERRY

25CF15100

PLAINTIFF'S MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE, SUMMARY ADJUDICATION/ PLAINTIFF'S MOTION TO STRIKE CROSS-COMPLAINT

This case involves the alleged breach of a solar loan entered into between University Credit Union ("Plaintiff") and Yvonne L. Berry, individually and as a Trustee of the Yvonne L. Berry Trust ("Defendants.")

Now before the Court is a motion to strike that Defendants' Cross-Complaint and Plaintiff's motion for summary judgment. Both motions are unopposed.

As an initial matter, the motion to strike does not comply with Local Rule 3.3.7. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

3 3 7 Tentative Rulings (Repealed Eff 7/1/06, As amended 1/1/18) All parties appearing on the Law and Motion calendar shall utilize the tentative ruling system. Tentative Rulings are available by 2:00 p.m. on the court day preceding the scheduled hearing and can be accessed either through the court's website or by telephoning 209-754-6285. The tentative ruling shall become the ruling of the court, unless a party desiring to be heard so advises the Court no later than 4:00 p.m. on the court day preceding the hearing including advising that all other sides have been notified of the intention to appear by calling 209-754-6285. Where appearance has been requested or invited by the Court, all argument and evidence is limited pursuant to Local Rule 3.3. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

Pursuant to Local Rule 3 3 7, the Court will make a tentative ruling on the merits of this matter by 2:00 p.m. the court day before the hearing. The complete text of the tentative ruling may be accessed on the Court's website or by calling 209-754-6285 and listening to the recorded tentative ruling. If you do not call all other parties and the Court by 4:00 p.m. the